

RUDRA GREEN SHIP RECYCLING LIMITED

POLICY FOR DETERMINING MATERIAL SUBSIDIARY

**[Pursuant to Regulation 46(2)(h) of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015]**

CIN: U74999GJ2018PLC102791

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Bharatnagar, Bhavnagar, Bhavnagar, Gujarat, India, 364002.

POLICY FOR DETERMINING MATERIAL SUBSIDIARY

1. Introduction

The Board of Directors (the "**Board**") of Rudra Green Ship Recycling Limited (the "**Company**") had adopted the policy and procedures regarding determination of Material Subsidiaries on September 16, 2026 . The said policy has been prepared in accordance with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended from time to time ("**Listing Regulations**").

Regulation 16(1)(c) read with Regulation 46(2)(h) of Listing Regulations requires the Company to formulate a policy for determining 'material' subsidiary and publish such policy on its website.

2. Policy Objective

The objective of this Policy is to determine the Material Subsidiaries (defined herein below) of the Company and to provide a governance framework for such subsidiaries.

3. Definitions

"**Act**" means the Companies Act, 2013.

"**Audit Committee** or **Committee**" means "**Audit Committee**" constituted by the Board of Directors of the Company, from time to time, in accordance with the provisions of Listing Regulations / erstwhile Listing Agreement and the Companies Act, 2013.

"**Board of Director**" or "**Board**" means the Board of Directors of the Company, as constituted from time to time.

"**Company**" means Rudra Green Ship Recycling Limited.

"**Control**" shall include the right to appoint majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholder agreements or voting agreements or in any other manner.

"**Independent Director**" means a director of the Company, not being a whole-time director or nominee director and who satisfies other criteria for independence in accordance with the applicable provisions under the Companies Act, 2013 and Listing Regulations.

"**Listing Regulations**" means the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and amendments thereof.

"**Policy**" means this Policy on material subsidiaries.

"**Material Subsidiary**" shall mean a subsidiary, whose income or net worth exceeds ten percent of the consolidated income or net worth respectively, of the Company and its subsidiaries in the immediately preceding accounting year.

"Net Worth" means net worth as defined in sub-section (57) of Section 2 of the Companies Act, 2013.

"Significant transaction or arrangement" shall mean any individual transaction or arrangement that exceeds or is likely to exceed ten percent of the total revenues or total expenses or total assets or total liabilities, as the case may be, of the unlisted subsidiary for the immediately preceding accounting year.

"Subsidiary(ies)" means subsidiary of the Company as defined in the Companies Act, 2013 and the rules made thereunder.

"Unlisted Material Subsidiary" means an unlisted subsidiary, incorporated in India, whose income or net "worth exceeds 20% of the consolidated income or net worth respectively, of the Company and its Subsidiaries in the immediately preceding accounting year.

All words and expressions used in this Policy, unless defined hereafter, shall have meaning respectively assigned to them under Listing Regulations and in the absence of its definition or explanation therein, as per the Companies Act, 2013 ("**Act**") and the Rules, Notifications and Circulars issued thereunder, as amended from time to time.

4. Criteria For Determining Material Subsidiary

A Subsidiary shall be a Material Subsidiary, whose turnover or net worth exceeds ten percent of the consolidated turnover or net worth respectively, of the listed entity and its subsidiaries in the immediately preceding accounting year.

Based on audited consolidated and standalone annual financial statements of Company and its Subsidiaries, in each financial year, the Company would identify the Subsidiaries which would get covered under the definition of material subsidiary as provided above.

5. Governance framework for the Material Subsidiary(ies)

A. If any subsidiary is found to be 'material', the Company should comply the following:

- (i) The management of the Material Subsidiary shall periodically bring to the notice of the board of directors of the Company a statement of all significant transactions and arrangements entered into by the said unlisted material subsidiary.
- (ii) The Company shall not dispose of shares in its Material Subsidiary which would reduce its shareholding (either on its own or together with subsidiaries) to less than or equal to 50% or cease the exercise of control over the subsidiary without passing a special resolution in its general meeting except in cases where such divestment is made under a scheme of arrangement duly approved by a court/tribunal, or under a resolution plan duly approved under Section 31 of the Insolvency and Bankruptcy Code, 2016 and such an event is disclosed to the recognized stock exchanges within one day of the resolution plan being approved.
- (iii) The Company shall not sell, dispose off and lease any assets amounting to more than twenty percent of the assets of the material subsidiary on an aggregate basis during a financial year without prior approval of shareholders by way of special resolution. However, the said approval is not required if the sale/disposal/lease is made under a scheme of arrangement duly approval by a court/tribunal, or under a resolution plan duly approved under Section 31 of the Insolvency and Bankruptcy

Code, 2016 and such an event is disclosed to the recognized stock exchanges within one day of the resolution plan being approved.

(iv) Where a listed subsidiary of the Company is itself a holding company of a Material Subsidiary, the provisions of this Policy shall apply to the listed subsidiary in so far as its subsidiaries are concerned.

- B. *At least one independent director of the Board of the Company shall be a director on the Board of Directors of an Unlisted Material Subsidiary, whether incorporated in India or not.

*For the purpose of appointment of Independent Director, the term "material subsidiary" shall mean a subsidiary, whose income or net worth exceeds twenty percent of the consolidated income or net worth respectively, of the listed entity and its subsidiaries in the immediately preceding accounting year.

- C. The Company shall comply with such other requirement in relation to Material Subsidiary as may be mandated under the Act and/ or Listing Regulations, from time to time.

- (i) The Company shall disclose events or information as covered under Regulation 30(9) of Listing Regulations with respect to subsidiaries, which are material for it.
- (ii) The Audit Committee of the Company shall review the financial statements, particularly the investments made by the unlisted subsidiary.
- (iii) The minutes of the meeting of the board of directors of the unlisted subsidiary shall be placed at the meeting of the board of directors of the Company.
- (iv) The management of the unlisted subsidiary shall periodically bring to the notice of the board of the directors of the Company, a statement of Significant transactions and arrangements entered into by the unlisted subsidiary in the format similar to the format prescribed in the relevant accounting standards.
- (v) The financial statement of material subsidiaries shall be hosted on the Company's website.
- (vi) The material subsidiary/ies incorporated in India shall undertake a secretarial audit and annex a secretarial audit report, given by a company secretary in practice in such form as specified, with the annual report of the Company.

Explanation: For the purpose of this regulation, "Significant transaction or arrangement" shall mean any individual transaction or arrangement that exceeds or is likely to exceed ten percent of the total revenues or total expenses or total assets or total liabilities, as the case may be, of the unlisted subsidiary for the immediately preceding accounting year.

- D. Every material unlisted subsidiary incorporated in India shall undertake secretarial audit and the secretarial audit report shall be annexed with the annual report of the listed entity.

6. Disclosure

This Policy shall be disclosed on the Company's website and a web link thereto shall be provided in the Annual Report of the Company.

The Company shall also disclose any amendments to this Policy on its website as and when approved by the Board.

7. Amendment

The Board may amend or modify this Policy in whole or in part, from time to time.

If, due to subsequent changes in the Act or/and Listing Regulation, a particular Standard or any part thereof becomes inconsistent with the Act or/and Listing Regulation, the provisions of the Act or/ and Listing Regulation shall prevail.

8. General

It is clarified that the Policy is solely for the purpose of disclosure requirements prescribed under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 with respect to the Offer Documents, and should not be applied towards any other purpose, including for disclosure of material information by listed entities pursuant to the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

The Policy shall be without prejudice to any disclosure requirements, which may be prescribed by SEBI and/ or such other regulatory, judicial, quasi-judicial, governmental, administrative or statutory authority with respect to listed companies or disclosure requirements as may be prescribed by SEBI through its observations on the Offer Documents, or disclosures that may arise from any investor or other complaints.

This Policy shall be subject to review/changes as may be deemed necessary and in accordance with regulatory amendments from time to time. All other capitalised terms not specifically defined in this Policy shall have the same meanings ascribed to such terms in the Offer Documents.

Effective Date: September 16, 2026

Place: Bahvnagar

Note: Approved in the Board meeting dated September 16, 2026 .